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MUMBAI-BASED AARUSH AHUJA (name changed) felt his world come crashing down when he saw news channels flashing the headline, ‘GST at 28 per cent on online gaming, horse racing, and casinos at full value’. The 34-year-old couldn’t process the development. He switched off the TV and went to his bedroom. The first thing he noticed was his trusted Sony PlayStation 2 that had started his gaming journey.

Ahuja had been obsessed with gaming since childhood, so much so that his parents would often worry. But Ahuja didn’t care; he continued to pursue his passion while balancing his studies. When the time came, he joined an engineering college.

But his heart was in gaming and he dropped out. Scouting for opportunities to pursue his passion, Ahuja came across the founder of an online gaming firm, who was impressed by his passion for gaming.

The founder decided to take a punt on Ahuja. Over the next five years, Ahuja was at the India-based gaming firm, often rub-

bing shoulders with the who’s who of the global gaming industry. Then the entrepreneurial bug bit him. In 2020, during the peak of the pandemic, he decided to strike out on his own—with his own online real-money gaming company.

Boosted by the pandemic, like many other tech-enabled sectors, the industry was being billed as the next big thing; some even called it a sunrise sector. Ahuja’s venture, too, grew steadily; all the years of hard work seemed to be paying off. But it all came to naught on July 11, when the GST Council announced the highest tax slab of 28 per cent on all online real-money gaming. Though there had been talk of such a decision, once it was announced, Ahuja understood that there was no going back. Besides, the industry has also been hit by a slew of notices from the tax authorities, totalling an estimated ₹1.5 lakh crore, per industry estimates.

ON THE ASCENDANT

Before we delve into the current crisis, let us find out how the online gaming industry became so big. According to a report by the eSports Players Welfare Association (EPWA) and Vinayaka Mission’s Law School (VMLS), the number of online gamers grew by 12 per cent to 507 million in FY22 from 450 million in FY21.

“Gaming [in India] has become a part of the mainstream and entertainment industry,” said Krafton India CEO Sean Hyunil Sohn at an event in August. Sohn, whose firm is behind the popular *Battle-Grounds Mobile India* game, added that India has a unique advantage: online gaming is mostly mobile-driven, and since India started with mobile gaming, it knows how to cater to this segment.

Experts believe the proliferation of the internet, cheap data, and the thrust on local manufacturing of mobile phones have further bolstered the space. And India, with its large population of young people, has grown to become a leading market for online gaming. Games like rummy, poker and fantasy sports are among the most popular in the country. In fact, a report brought out by Deloitte along with industry body Federation of Indian Fantasy

“The real impact of the tax will be felt in some time, [but] the industry would like to come to a middle ground with the government while advocating for a tax on gross gaming revenue”

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